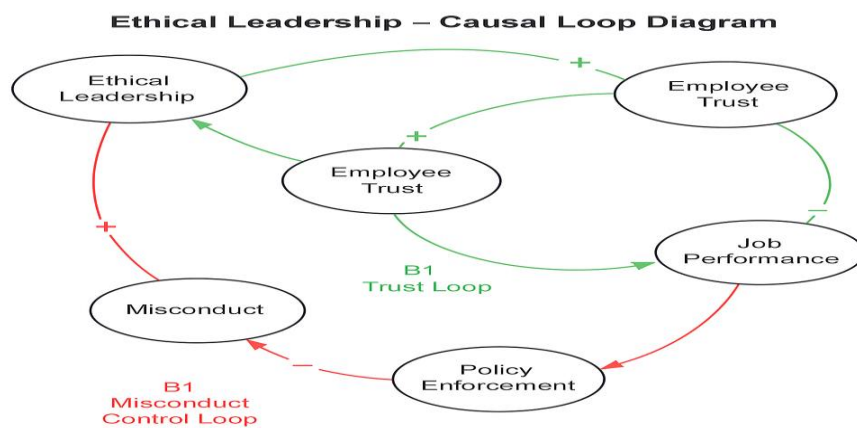


Causal Loop Diagram Explanation



1. Introduction

This document presents a Causal Loop Diagram (CLD) developed using Lucidchart to explore how ethical leadership influences employee behavior, morale, performance, and organizational culture. The diagram serves as a visual tool to understand the feedback loops within leadership dynamics from the perspective of an IT Supervisor.

2. Purpose of the Diagram

The CLD was created to:

- Visualize the systemic relationships between ethical leadership and employee outcomes.
- Understand how leadership decisions can create reinforcing or balancing effects on workplace culture.
- Identify potential intervention points to strengthen ethical behavior and team performance.

3. Key Variables Included

The diagram includes the following variables:

- Ethical Leadership
- Employee Trust
- Team Morale
- Job Performance
- Misconduct
- Policy Enforcement

4. Feedback Loops Identified

R1 – Reinforcing Trust Loop

- Ethical Leadership → (+) Employee Trust
- Trust → (+) Team Morale

- Morale → (+) Job Performance
- Performance → (+) Ethical Leadership Credibility

This loop illustrates that ethical leadership enhances trust, which improves morale and performance, thereby reinforcing the leader's influence.

B1 – Misconduct Control Loop

- Misconduct → (+) Policy Enforcement
- Policy Enforcement → (–) Misconduct

This loop shows how increased misconduct leads to stricter enforcement, which in turn reduces misconduct. It acts as a balancing mechanism to maintain ethical standards.

5. Insights from the Diagram

- Ethical leadership has a positive reinforcing impact on team culture and effectiveness.
- Small ethical lapses, if ignored, can trigger a decline in trust, leading to weaker morale and performance.
- Proactive and fair enforcement of policies is necessary to sustain a healthy balance.
- The interplay between reinforcing and balancing loops explains how leadership actions ripple through the organization.

6. Application of the CLD

Using this model, I:

- Simulated the effects of leadership inaction (e.g., delayed conflict resolution).
- Explored how positive changes (like anonymous feedback channels or ethics reviews) strengthen the trust loop.
- Now use this diagram as a decision-support tool for conflict resolution, policy planning, and culture development.

7. Conclusion

The Causal Loop Diagram reinforces that ethical leadership is not an isolated trait but a continuous, feedback-driven process. It shows how small decisions shape the broader organizational system. Leaders must remain intentional and consistent, understanding that their choices today affect team dynamics tomorrow.